MERRYLAND HIGH SCHOOL ENTEBBE

HOLIDAY WORK

TERM 3 2025

S.5 ENTREPRENEURSHIP EDUCATION HOLIDAY PACKAGE 2025.

ATTEMPT ALL ITEMS

ITEM 1
Apollo operates a stationery shop, and at the end of the financial year on 31st December 2023, he requires financial statements to assess the performance and position of his business.
He has hired you as an accountant to prepare:

a) A Statement of Comprehensive Income (Income Statement) to determine the profit or loss.
b) A Statement of Financial Position (Balance Sheet) to show the financial health of the business.

The following trial balance was extracted from the books of Apollo's Stationery Shop as at 31st December 2023:

APOLLO'S STATIONERY SHOP
TRIAL BALANCE AS AT 31ST DECEMBER 2023

Details	**Dr (shs)**	**Cr(shs)**
Stock at start	6,000,000	
Purchases	32,000,000	
Sales		40,000,000
Return inwards	4,000,000	
Return outwards		3,000,000
Salaries	3,500,000	
General expenses	2,900,000	
Discount allowed	3,000,000	
Interest received		2,000,000
Drawings	9,000,000	
Carriage inwards	2,000,000	
Carriage outwards	4,000,000	
Motor van	20,000,000	
Buildings	30,000,000	
Bank overdraft		6,400,000
Cash at hand	8,000,000	
Debtors	15,000,000	
Creditors		30,000,000
Capital		58,000,000
Total	139,400,000	139,400,000

Additional information.
Closing stock ugx 8,000,000

Item 2

Maneno is a committed entrepreneur and innovator in his community. He bought a petrol station from Musoke which had been burnt with fire and renovated it giving it a good brand name. Being creative and innovative, Maneno has employed beautiful ladies with placards and fliers welcoming customers to the station, he allows customers to pay daily sales using mobile money.

He also provides repairs services with computerized alignment to the customers plus new vehicle lubricants

Task

a) Give any four types of innovations initiated by Maneno in the business?
b) State any five characteristics of Maneno as an innovator.
c) Apart from fire, what other risks are mostly likely to be encountered in Maneno's business?

Item 1

Green Harvest Farm is a youth-led agribusiness located in Mukono that grows vegetables and supplies them to supermarkets in Kampala. The founder, **Mr. Brian**, started the business with limited capital but had strong determination and creativity. Recently, Brian has been facing challenges in getting enough land for expansion because the area is densely populated. Prices of farm inputs such as fertilizers and seeds have also increased. However, he has started exploring the use of organic fertilizers and modern irrigation methods to reduce costs.

Although some government rules on licensing and taxation are still difficult to follow, Brian has benefited from the good road network and access to mobile banking services that help him pay suppliers easily. He also uses social media to market his products and connect with customers.

Brian notices that the business environment keeps changing weather patterns, prices, and customer preferences shift frequently. Despite these uncertainties, he remains flexible and keeps looking for new opportunities to expand his vegetable supply to nearby schools and restaurants.

Task

a) From Brian's experience at Green Harvest Farm, what can you say about the kind of environment in which entrepreneurs operate?
b) Using Brian's experience at Green Harvest Farm, what economic conditions can be observed that make the entrepreneurship environment supportive for his business operations?

Item 2

In recent months, Kampala City has experienced heavy and persistent rains, causing severe floods in many low-lying areas such as Nakasero, Kabalagala, and Nakawa. Several small and medium-sized businesses located in flood-prone zones, including shops, kiosks, bakeries, and restaurants, suffered significant losses.

One such business is **Rwasande's Bakery**, located at KK Plaza, opposite Hams Building. The bakery had been operating successfully, supplying bread, cakes, and pastries to nearby offices and households. Unfortunately, the floods swept through the area, destroying all his merchandise, baking equipment, and wiping out the capital he had invested.

Rwasande, a former student of Green Hill Academy Kibuli, is determined to restart his business but faces several challenges. He has limited knowledge about efficiently planning production, sourcing affordable ingredients, and raising funds to rebuild and expand his operations. Despite the setbacks, he remains motivated to continue his entrepreneurial journey and serve the local community.

Task:
Assist Rwasande to;

a) Prepare a plan that can guide him to produce the proposed bakery products.
b) Apart from savings, advise Rwasande on how he can raise extra funds for business expansion.

Item 3

Bright Bakers Ltd is a small bakery located in Entebbe that produces cakes, bread, and snacks for schools and supermarkets. Recently, the production manager, Ms. Aisha, has been facing several production challenges.

Ms. Aisha wants to purchase more raw materials such as baking flour, sugar, and cooking oil. However, she is undecided about which supplier to choose. One supplier offers cheaper materials but delivers late and sometimes supplies low-quality flour, while another supplier is more expensive but delivers on time and provides high-quality materials. Because of delays in getting raw materials, the bakery sometimes fails to meet customer orders on time. The company has a small loan from a local bank, and the workers are skilled and motivated to produce more if the right materials and equipment are provided.

In addition, Ms. Aisha would like to increase the quantity of finished products to meet customer demand, but she is **unsure whether to produce in large or small quantities** because of the limited funds and unpredictable sales. When production is high, some bread remains unsold and goes to waste. When production is low, customers complain that products are not enough.

Task

a) What do you think could help Ms. Aisha make better choices when buying materials for the bakery?
b) What do you think could be influencing the way Ms. Aisha decides how much bread and snacks to produce at Bright Bakers Ltd?

SECTION B

Respond to only two items from this section

Item 4

Kayondo Paul, a Senior Six Vacacist, is interested in business. His father, a junior accountant, is struggling to prepare financial statements on time. Paul seeks help from an Entrepreneurship student to organize and analyze the business records. He provides the following financial details as of 31st December 2023:

Particulars	Amount (Ugx)
Capital	20,000,000
Stock 1.Jan. 2023	13,100,000
Purchases	9,040,000
Land	2,000,000
Building	20,000,000
Machinery	3,600,000
Bank	2,900,000
Advertising	700,000
Discount expenses	680,000
Discount income	390,000
Creditors	9,000,000
Interest received	2,100,000
Debtors	5,000,000
Insurance	560,000
Returns on sales	180,000
Sales	17,820,000
Returns on purchases	360,000
Carriage on Purchases	400,000
Commission income	4,100,000
Rent income	2,000,000
bank Over draft	4,000,000
Motor van	2,400,000
Drawings	5,000,000
Rent expenses	450,000
Closing stock	450,000
bank Loan	6,240,000

Your Tasks as an Entrepreneurship Student:

Paul has approached you, as a knowledgeable Entrepreneurship student, to help him prepare the following financial statements to:

a) Assess the financial performance of the business for the year ended 31 December 2023
b) Evaluate the financial position of the business. For the period ending 31 December 2023.

Item 5

Mondo Enterprises is a medium-sized trading business located in Jinja town dealing in general merchandise such as household items and stationery. The business has been performing fairly well, and the manager, Mr. Mondo, has plans to expand operations in 2025 by introducing new products, acquiring new office furniture, and improving general operations. Before implementing these plans, Mr. Mondo decided to prepare a cash flow projection to guide him in managing the inflows and outflows of cash during the first four months of the year.

The following financial projections were made by Mondo during the month of January 2025.

On January 1, 2025, the business had a cash balance of Shs. 33,000,000. The business expected to make credit sales of Shs. 12,000,000 per month. It was further estimated that 80% of these sales would be collected in the same month of sale while the remaining 20% would be received in the following month.

Mondo planned to obtain a loan of Shs. 3,000,000 from the bank in January. The loan was to attract an interest rate of 5% per month after a grace period of one month. Additionally, the business expected to receive a donation of Shs. 2,000,000 in January from a well-wisher. This donation was projected to increase by 10% every month.

The business also anticipated earning cash sales of Shs. 20,000,000 each month. According to the company's policy, a commission of 2% was to be paid on all sales made, both cash and credit.

Mondo further planned to sell an old vehicle at a price of Shs. 8,000,000. The agreement was that 60% of the amount would be received in January and the balance would be paid in two instalments in the following months in the ratio of 3:2 respectively.

In March, the business intended to purchase new ten office desks at a cost of Shs. 60,000 each. Monthly cash purchases were expected to amount to Shs. 17,000,000, while credit purchases were projected to increase by 5% each month. The amount of credit purchases in January was estimated at Shs. 18,000,000.

The business was also required to pay its employees a monthly labour cost of Shs. 600,000 each for 20 employees. Loan repayment was to be made in two equal monthly instalments of the principal amount. In addition, the business was to pay value-added tax (VAT) of 18% separately on the purchase of the office desks.

Required:

a) Prepare Mondo Enterprises' monthly statement of cash inflows and outflows for the four months ending 30th April 2025 using the information provided.
b) Advise Mondo Enterprises on various ways of managing business cash surpluses to ensure effective financial control.